



Alternative assets: hedge funds, private equity & real assets

Why these illiquid assets appeal to large institutional investors despite their constraints.

TYPICAL "2 & 20" FEE STRUCTURE

2% annual management fee + 20% performance fee – historical hedge fund/PE structure

HEDGE FUNDS

- Flexible strategies (long/short, macro, arbitrage) aiming for returns with low market correlation.
- Liquidity usually monthly to quarterly, sometimes with lock-up periods.
- Performance heavily dependent on the manager's skill and the chosen strategy.

PRIVATE EQUITY & VENTURE CAPITAL

- Taking stakes in non-listed companies (mature ones for PE, early-stage for VC).
- Long horizon (7-10 years), high illiquidity, progressive capital calls.
- Value creation through operational improvement, not just market movements.

PRIVATE DEBT

- Direct loans to companies, outside the traditional banking system.
- Generally higher yield than listed credit, in exchange for accepted illiquidity.
- Strong growth since banks tightened lending standards post-2008.

REAL ASSETS

- Real estate, infrastructure, timberland: tangible assets whose returns are often inflation-linked.
- Very long horizon, regular income (rents, tolls, timber sales).
- Strong diversification benefit due to low correlation with traditional financial markets.

Who uses what?

PENSION FUNDS

Infrastructure and private debt for long, stable income matched to their liabilities.

FAMILY OFFICES

Private equity and venture capital to target strong long-term capital growth.

INSURERS

Real assets to diversify and meet very long-term liabilities.

ENDOWMENTS

Combine hedge funds, PE and real assets for diversified returns over decades.

KEY TAKEAWAYS

1. Illiquidity isn't just a constraint: patient investors can capture the illiquidity premium it's compensated with.
2. Private equity creates value through operational transformation of a company, not only through market re-rating.
3. These assets require a long investment horizon and solid governance — not suited to short-term liquidity needs.



Comparison table

CRITERION	HEDGE FUNDS	PRIVATE EQUITY	PRIVATE DEBT	REAL ASSETS
Liquidity	Monthly/quarterly	Very low (7-10 years)	Low	Very low
Horizon	Short to medium term	Long term	Medium to long term	Very long term
Typical fees	2% + 20%	2% + 20%	1-2% management	1-1.5% management
Target return	Absolute, low correlation	High, with risk	Above listed credit	Steady, inflation-linked

Real-world examples

LONG/SHORT EQUITY FUND

A hedge fund buys stocks it considers undervalued and shorts those it considers overvalued to neutralize part of the market risk.

PRIVATE EQUITY LBO

A PE fund acquires a company using leverage, improves its operational performance, then sells it at a profit.

DIRECT LENDING

A private debt fund lends directly to a mid-sized company that doesn't have easy access to traditional bank financing.

TIMBERLAND

An institutional investor holds sustainably managed forests to generate steady income from timber sales, with low correlation to financial markets.

Quick glossary

J-CURVE

Private equity performance profile: initial losses followed by gradual value creation.

ILLIQUIDITY PREMIUM

Extra return expected to compensate for the inability to easily resell an asset.

CARRIED INTEREST

Share of profits paid to a fund's management team above a set return threshold.

CAPITAL CALL

Progressive request for funds from investors as investment needs arise.

NAV

Net Asset Value — a fund's net value, often estimated for non-listed assets.

VINTAGE YEAR

The year a fund was launched, key for comparing its performance to similar funds.

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